Type MS · Pricing strategies and when to use them

Answer 1 of 17 · Question 2 part c · 3 marks

2020 NOV · Paper 02 (regional R) · extract 1 of 6 · find part c in this mark scheme extract

2 (a)	**A02 = 1 mark** Award 1 mark for a valid function of human resources in the context of the business. • To recruit and select skilled employees to manufacture hockey sticks at *HRMW*'s factory (1). **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Mark
2 (b)	**A02 = 1 mark** Award 1 mark for a valid reason for carrying out market research in the context of the business. • *HRMW* can collect information relating to sports products it sells or intends to sell (1). **Accept any other appropriate response.**	**(1)**

Type MS · Pricing strategies and when to use them

Answer 1 of 17 · Question 2 part c · 3 marks

2020 NOV · Paper 02 (regional R) · extract 2 of 6 · find part c in this mark scheme extract

Question Number	Answer	Mark
2 (c)	**A01 = 3 marks** Award 1 mark for identification of a benefit for using penetration pricing, plus 2 further marks for explaining why penetration pricing is beneficial for a business, for a maximum of 3 marks. • By using this method, the business puts its prices lower than other businesses (1). It does this in order to get established in the market (1). Once customers are buying the product the price may increase (1). NB Answers that list three benefits with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Question Number	Answer	Mark
2 (d)	**A01 = 3 marks** Award 1 mark for a benefit to using the internet for secondary market research, plus 2 further marks for explaining this benefit, for a maximum of 3 marks. • Using the internet for secondary research enables businesses to access a large volume of data (1). This means that businesses do not have to go out and collect the data themselves, as they find it on the internet (1). This is a much cheaper and quicker way of collecting the required information as someone else has already done it (1). Answers that list three benefits with no explanation will get a maximum of 1 mark. NB No marks are awarded for a definition. **Accept any other appropriate response.**	**(3)**

Type MS · Pricing strategies and when to use them

Answer 1 of 17 · Question 2 part c · 3 marks

2020 NOV · Paper 02 (regional R) · extract 3 of 6 · find part c in this mark scheme extract

Question Number	Answer	Mark
2 (e)	**A01 = 3 marks** Award 1 mark for the identification of a benefit of introducing new products, plus 2 further marks for explaining that benefit, for a maximum of 3 marks. • A business introduces new products to keep customers interested in the business and the products it sells (1). The business can replace an old product with a new one (1) in order to keep up with trends in the market (1). Answers that list three benefits of introducing new products with no explanation will get a maximum of 1 mark. NB No marks are awarded for a definition. **Accept any other appropriate response.**	**(3)**

Type MS · Pricing strategies and when to use them

Answer 1 of 17 · Question 2 part c · 3 marks

2020 NOV · Paper 02 (regional R) · extract 4 of 6 · find part c in this mark scheme extract

Question Number	Indicative content	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • Option 1 – By using this method the employees are involved in the process of improving the production of the sports products they manufacture. • Option 2 – With JIT (just-in-time) employees do not waste time waiting for materials to arrive such as leather used to make footballs. **AO3** • Option 1 – The employees know 'first-hand' where improvements in the production of sports products could be made. • Option 2 – This saves *HRMW* from having to have space to store the materials from which it makes sporting products, and this saves costs. **AO4** • Option 1 – However, there is no guarantee that the employees are willing to help improve the production of sports products thereby, saving the business money. • Option 2 – However, JIT can only work provided employees making footballs work at the same rate and that the supplier delivers the leather on time.	**(9)**

Type MS · Pricing strategies and when to use them

Answer 1 of 17 · Question 2 part c · 3 marks

2020 NOV · Paper 02 (regional R) · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Pricing strategies and when to use them

Answer 1 of 17 · Question 2 part c · 3 marks

2020 NOV · Paper 02 (regional R) · extract 6 of 6 · find part c in this mark scheme extract

Question Number	Answer	Mark

Type MS · Pricing strategies and when to use them

Answer 2 of 17 · Question 1 part d · 1 mark

2020 NOV · Paper 02 · extract 1 of 6 · find part d in this mark scheme extract

1 (a) (i)	**AO1 = 1 mark** **The only correct answer is B - Shares are traded on the stock exchange** A is not correct because a plc is not controlled by the government C is not correct because a plc can have more than 50 shareholders D is not correct because there is no restriction in transfer of shares	**(1)**

Question Number	Answer	Mark
1 (a) (ii)	**AO1 = 1 mark** **The only correct answer is C – Finance** A is not correct because Human resources looks after people B is not correct because Marketing identifies customers' needs D is not correct because Production is making goods	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO2 = 1 mark** **The only correct answer is A - 12.5%** B is not correct because Total equals £1 200 000 and 20.8% - Business 4 C is not correct because 25% = £300 000 – Business 1 D is not correct because 29.2% = £350 000 – Business 5	**(1)**

Type MS · Pricing strategies and when to use them

Answer 2 of 17 · Question 1 part d · 1 mark

2020 NOV · Paper 02 · extract 2 of 6 · find part d in this mark scheme extract

Question Number	Answer	Mark
1 (a)(iv)	**AO1 = 1 mark** **The only correct answer is B - More funds taken out than are in the account** A is not correct because borrowing regular amounts is a loan C is not correct because money lent by many people is 'just giving' D is not correct because a loan for repayment is a loan	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO2 = 1 mark** **The only correct answer is D - 2.53%** A is not correct because calculation worked out on Cash assets not Total assets B is not correct because percentage correct but not minus calculation wrong way round C is not correct because calculation worked out using 2016-2017 figure not 2015-2016 figure	**(1)**

Question Number	Answer	Mark
1 (a)(vi)	**AO1 = 1 mark** **The only correct answer is C - Job description** **A** is not correct because a Business plan is not in recruitment **B** is not correct because Induction training is after recruitment **D** is not correct because Job enrichment is after recruitment	**(1)**

Type MS · Pricing strategies and when to use them

Answer 2 of 17 · Question 1 part d · 1 mark

2020 NOV · Paper 02 · extract 3 of 6 · find part d in this mark scheme extract

Question Number	Answer	Mark
1 (b)	**AO1 = 1 mark** Award 1 mark for a correct definition of social enterprise. • A business whose profits are used to benefit it and the community (1).	**(1)**

Question Number	Answer	Mark
1 (c)	**AO1 = 1 mark** Award 1 mark for a correct definition of globalisation. • Companies operating internationally across the world (1).	**(1)**

Question Number	Answer	Mark
1 (d)	**A02 = 1 mark** Award 1 mark for a valid reason why *Emirates* uses competition pricing in the context of the business. • To attract more people to fly with *Emirates* and not its competitors (1). • As *Emirates* flies to 180 destinations consumers do not find it necessary to choose other airlines (1). **Accept any other appropriate response.**	**(1)**

Type MS · Pricing strategies and when to use them

Answer 2 of 17 · Question 1 part d · 1 mark

2020 NOV · Paper 02 · extract 4 of 6 · find part d in this mark scheme extract

Question Number	Answer	Additional guidance	Mark
1 (e)	**A02 = 2 marks** 26 – 30 (1) = –4 (1)	Award 1 mark for substituting numbers into formula correctly. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Answer	Mark
1 (f)	**A01 = 3 marks** Award 1 mark for identification of a factor in Herzberg's motivational theory, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • One factor is called a hygiene factor (1) workers can become demotivated (1) if hygiene factors such as pay are not met (1). • The other factor is motivator (1) employees gain achievement in their job (1) which allows then to grow and develop (1). Answers that list two factors with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Pricing strategies and when to use them

Answer 2 of 17 · Question 1 part d · 1 mark

2020 NOV · Paper 02 · extract 5 of 6 · find part d in this mark scheme extract

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Comparison of finances from different routes can be made from year to year. *Emirates* can make decisions on whether routes continue. **AO3** • Decisions can then be made whether to reduce costs or change certain strategies. • The figures can also inform *Emirates* what action it might need to take in coming years.	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3–4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5–6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Pricing strategies and when to use them

Answer 2 of 17 · Question 1 part d · 1 mark

2020 NOV · Paper 02 · extract 6 of 6 · find part d in this mark scheme extract

Question Number	Answer	Mark

Type MS · Pricing strategies and when to use them

Answer 3 of 17 · Question 1 part a.ii · 1 mark

2021 JUN · Paper 01 · extract 1 of 7 · find part a.ii in this mark scheme extract

1 (a) (i)	AO1 - 1 mark **1 (a) (i) The only correct answer is C** **A** is not correct because personal savings are an internal source of finance **B** is not correct because retained profit is an internal source of finance **D** is not correct because selling assets is an internal source of finance	**(1)**

Question Number	Answer	Mark
1 (a) (ii)	AO1 - 1 mark **1 (a) (ii) The only correct answer is B** **A** is not correct because penetration pricing is where a business sets a low price for a new product **C** is not correct because competition pricing is where a business sets a price for a product in line with its competitors **D** is not correct because promotional pricing is where a business lowers the price of a product for a short time	**(1)**

Type MS · Pricing strategies and when to use them

Answer 3 of 17 · Question 1 part a.ii · 1 mark

2021 JUN · Paper 01 · extract 2 of 7 · find part a.ii in this mark scheme extract

Question Number	Answer	Mark
1 (a) (iii)	AO1 - 1 mark **1 (a) (iii) The only correct answer is A** **B** is not correct because discrimination by ability is not protected by legislation **C** is not correct because social discrimination is not protected by legislation **D** is not correct because ethical discrimination is not protected by legislation	**(1)**

Question Number	Answer	Mark
1 (a) (iv)	AO1 - 1 mark **1 (a) (iv) The only correct answer is D** **A** is not correct because a curriculum vitae would be sent to the employer **B** is not correct because a letter of application would be sent to the employer **C** is not correct because a newspaper advertisement would be used to advertise the job vacancy	**(1)**

Question Number	Answer	Mark
1 (a) (v)	AO2 - 1 mark **1 (a) (v) The only correct answer is B** **A** is not correct because it is the exchange rate in euros **C** is not correct because it is the cost of 1kg of dried fruits **D** is not correct because it is the cost of 1kg of dried fruits added to the exchange rate of the euro	**(1)**

Type MS · Pricing strategies and when to use them

Answer 3 of 17 · Question 1 part a.ii · 1 mark

2021 JUN · Paper 01 · extract 3 of 7 · find part a.ii in this mark scheme extract

Question Number	Answer	Mark
1 (a) (vi)	AO2 - 1 mark **1 (a) (vi) The only correct answer is C** **A** is not correct because it is the cost of a jar of honey formatted as a percentage **B** is not correct because it is the selling price of a jar of honey minus the cost of a jar of honey as a percentage **D** is not correct because it is double the mark up of a jar of honey	**(1)**

Question Number	Define the term profit Answer	Mark
1 (b)	AO1 - 1 mark Award 1 mark for a correct definition of profit. • Total revenue – total costs (1).	**(1)**

Question Number	Define the term non-current liabilities Answer	Mark
1 (c)	AO1 - 1 mark Award 1 mark for a correct definition of non-current liabilities. • Debts that are payable after 12 months (1).	**(1)**

Type MS · Pricing strategies and when to use them

Answer 3 of 17 · Question 1 part a.ii · 1 mark

2021 JUN · Paper 01 · extract 4 of 7 · find part a.ii in this mark scheme extract

Question Number	State one reason why NOF segments its target market by income Answer	Mark
1 (d)	A02 - 1 mark Award 1 mark for a reason why NOF segments its target market by income. • NOF can sell higher priced organic products to people staying at the farm (1). Accept any other appropriate response.	**(1)**

Question Number	Answer	Additional guidance	Mark
1 (e)	A02 - 2 marks 90 – 10 = 80 (1) 80/160 x 100 = 50 (1)	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Pricing strategies and when to use them

Answer 3 of 17 · Question 1 part a.ii · 1 mark

2021 JUN · Paper 01 · extract 5 of 7 · find part a.ii in this mark scheme extract

Question Number	Explain one strategy a small business might use to extend the product life cycle of one of its products Answer	Mark
1 (f)	A01 - 3 marks Award 1 mark for identification of a strategy of extending a product life cycle, plus 2 further marks for explaining the impact, for a maximum of 3 marks. • Local advertising could extend the life cycle of a product (1). A small business could deliver leaflets to the local area to increase customer awareness of a product (1) leading to a potential increase in sales (1). NB Answers that list three strategies with no explanation will get a maximum of 1 mark. Accept any other appropriate response.	**(3)**

Question Number	Analyse the importance of marketing to NOF Indicative content	Mark
1 (g)	AO2 = 3 marks AO3 = 3 marks AO2 • Result from marketing would enable NOF to adapt its overnight accommodation to what the customers want. • Marketing can be used to make customers aware of its organic honey. AO3 • This may lead to increased bookings for the overnight accommodation. • Sales of organic honey may increase.	**(6)**

Type MS · Pricing strategies and when to use them

Answer 3 of 17 · Question 1 part a.ii · 1 mark

2021 JUN · Paper 01 · extract 6 of 7 · find part a.ii in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3–4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5–6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Pricing strategies and when to use them

Answer 3 of 17 · Question 1 part a.ii · 1 mark

2021 JUN · Paper 01 · extract 7 of 7 · find part a.ii in this mark scheme extract

Question Number	State one external factor that could cause a change in demand for NOF products Answer	Mark

Type MS · Pricing strategies and when to use them

Answer 4 of 17 · Question 1 part d · 1 mark

2021 JUN · Paper 02 · extract 1 of 7 · find part d in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **1 (a) (i) The only correct answer is C** **A** is not correct because primary is extracting raw materials **B** is not correct as secondary is the manufacturing of the goods **D** is not correct as quarternary is not a section in retail under this word	**(1)**

Question Number	Which **one** of the following would be used to select a group of applicants for interview? Answer	Mark
1 (a) (ii)	**AO1 - 1 mark** **1 (a) (ii) The only correct answer is B** **A** is not correct because training as this is carried out once the applicant has obtained the job **C** is not correct because marketing it is not involved in interviewing **D** is not correct because advertising is not involved in interviewing	**(1)**

Type MS · Pricing strategies and when to use them

Answer 4 of 17 · Question 1 part d · 1 mark

2021 JUN · Paper 02 · extract 2 of 7 · find part d in this mark scheme extract

Question Number	Which **one** of the following would *NEXT* pay in £ (GBP) to the Turkish manufacturer for the 5,000 dresses? Answer	Mark
1 (a) (iii)	**AO2 - 1 mark** **1 (a) (iii) The only correct answer is D** **A** is not correct 5 101 is 5000 + 101.10 **B** is not correct 5 674 is 5000 + (100 x 6.74) **C** is not correct 33 700 is 5000 x 6.74	**(1)**

Question Number	Which **one** of the following describes Kaizen? Answer	Mark
1 (a) (iv)	**AO1 - 1 mark** **1 (a) (iv) The only correct answer is D** **A** is not correct as skilled manufacturing is making the product **B** is not correct as JIT is the arrival of materials in time for manufacture **C** is not correct as market orientated is not related to production	**(1)**

Question Number	What is the percentage increase, to two decimal places, of online customers from 2017 to 2018? Answer	Mark
1 (a) (v)	**AO2 - 1 mark** **1 (a) (v) The only correct answer is C 4.26%** **A** is not correct 2.00% is (4.9 – 4.7) x 10 **B** is not correct 4.08% is 4.9 + 4.7 = 9.6 x 4.26/ 10 **D** is not correct 4.70% is 4.7 million as a percentage	**(1)**

Type MS · Pricing strategies and when to use them

Answer 4 of 17 · Question 1 part d · 1 mark

2021 JUN · Paper 02 · extract 3 of 7 · find part d in this mark scheme extract

Question Number	Which **one** of the following is a benefit of buying a franchise? Answer	Mark
1 (a) (vi)	**AO1 - 1 mark** **1 (a) (vi) The only correct answer is A** **B** is not correct as franchisee pay the same rate of VAT **C** is not correct as the franchisor does not pay the franchisee to set up **D** is not correct as a franchisee does not make his/her own decisions	**(1)**

Question Number	Define the term **delegation**. Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of delegation. • The passing of responsibility to a subordinate **(1)**	**(1)**

Question Number	Define the term **venture capital**. Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of venture capital. • Venture capital is a type of risk capital available to start-up businesses **(1)**	**(1)**

Type MS · Pricing strategies and when to use them

Answer 4 of 17 · Question 1 part d · 1 mark

2021 JUN · Paper 02 · extract 4 of 7 · find part d in this mark scheme extract

Question Number	State **one** reason why *NEXT* might use cost plus pricing. Answer	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason of using cost plus pricing in the context of the business. • *NEXT* may use this method as the mark up can be different in the 70 countries it operates/sells in **(1)** • *NEXT* may use cost plus pricing to ensure that a profit is made on each dress sold **(1)** **Accept any other appropriate response.**	**(1)**

Type MS · Pricing strategies and when to use them

Answer 4 of 17 · Question 1 part d · 1 mark

2021 JUN · Paper 02 · extract 5 of 7 · find part d in this mark scheme extract

Question Number	Calculate the predicted sales for next year. Answer	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 727 000 000 x 1.032 **(1)** = 750 264 000 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Explain **one** disadvantage for a business that does not achieve its predicted growth. Answer	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a disadvantage for a business that does not achieve its predicted growth, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Shareholders may not be very happy **(1)** because if the business does not reach its predicted growth they may not receive dividends **(1)** and this may mean that they invest in other businesses **(1)** • If the business does not achieve its predicted growth it may not be able to expand **(1)** this means that it may lose some market share **(1)** as customers could go elsewhere **(1)** NB Answers that list three disadvantages with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Pricing strategies and when to use them

Answer 4 of 17 · Question 1 part d · 1 mark

2021 JUN · Paper 02 · extract 6 of 7 · find part d in this mark scheme extract

Question Number	Analyse the benefits to *NEXT* of training all its employees. Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • If *NEXT* trained all its employees, then they are trained in a consistent fashion so that they can operate in the same way across 70 countries • Employees attending these training sessions will gain customer service skills they can use in *NEXT* shops **AO3** • This means that all employees work to the same standards set by *NEXT* • These new customer service skills allow employees to improve their sales techniques and this could lead to increased sales for *NEXT*	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Pricing strategies and when to use them

Answer 4 of 17 · Question 1 part d · 1 mark

2021 JUN · Paper 02 · extract 7 of 7 · find part d in this mark scheme extract

Question Number	State **one** reason why *NEXT* would want to promote its own employees. Answer	Mark

Type MS · Pricing strategies and when to use them

Answer 5 of 17 · Question 3 part a · 1 mark

2021 NOV · Paper 01 · extract 1 of 5 · find part a in this mark scheme extract

Question Number	Answer	Mark
3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of price skimming. • Setting a high price for a new product and then lowering it later **(1).**	**(1)**

Question Number	Answer	Mark
3 (b)	**A02 - 2 marks** Award 1 mark for identifying a reason why cash is important to *Artify Studio*, plus 1 further mark for linking it to the context of the question. • It allows *Artify Studio* to pay suppliers for the art materials they sell **(1)** and by paying on time help to build a positive relationship between the business and supplier **(1).** **NB** Do not accept a reason that is not in the context of *Artify Studio*. **Accept any other appropriate response.**	**(2)**

Question Number	Answer	Additional guidance	Mark
3 (c)	**A02 - 2 marks** 28 500/90 500 x 100 **(1)** = 31.49 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

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Type MS · Pricing strategies and when to use them

Answer 5 of 17 · Question 3 part a · 1 mark

2021 NOV · Paper 01 · extract 2 of 5 · find part a in this mark scheme extract

Question Number	Indicative content	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *Artify Studio* can see how it is performing and can calculate the gross profit margin of 31.49%. • *Artify Studio* could can use this information to assess the direction that the art studio will take in the future. **AO3** • This calculation helps them to see the sales they are making are currently sufficiently covering costs of running their services and selling their products. • This helps *Artify Studio* to judge how much profit they are making against the cost of running their business and if any changes need to be made to make the business more profitable.	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

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Type MS · Pricing strategies and when to use them

Answer 5 of 17 · Question 3 part a · 1 mark

2021 NOV · Paper 01 · extract 3 of 5 · find part a in this mark scheme extract

Question Number	Indicative content	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • Option 1 – Crowdfunding could be a quick way to raise the finance needed for new art sets. • Option 2 – Tay Hui Jae could invest his own retained profits which have been earned from previous years to purchase the new art sets. **AO3** • Option 1 – Investors do not need to be given any financial reward in return for their money but could instead be offered access to the art services *Artify Studio* offer. • Option 2 – This may provide the business will the short-term finance it needs to get the painting sets together. **AO4** • Option 1 – However, *Artify Studio* is only a small business so may not have enough presence to gain the funding needed and if they don't meet the target they set then they may end up with nothing. • Option 2 – However, there is no guarantee these painting sets will sell as customers may prefer for their children to take part in the art sessions in the studio making the venture unsuccessful.	**(9)**

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Type MS · Pricing strategies and when to use them

Answer 5 of 17 · Question 3 part a · 1 mark

2021 NOV · Paper 01 · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

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Type MS · Pricing strategies and when to use them

Answer 5 of 17 · Question 3 part a · 1 mark

2021 NOV · Paper 01 · extract 5 of 5 · find part a in this mark scheme extract

Question Number	Answer	Additional guidance	Mark

Type MS · Pricing strategies and when to use them

Answer 6 of 17 · Question 1 part a.ii · 1 mark

2025 JUN · Paper 01 (regional R) · extract 1 of 6 · find part a.ii in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is D – Capital intensive** **A –** Kaizen - this is not correct because it is a method of lean production **B** – Job production - this is not correct because it is usually labour intensive **C** – Just-in-time - this is not correct because this is a method of lean production	**(1)**

Question Number	Which **one** of the following is a pricing strategy that involves setting a low price for a product when it is first introduced to the market to quickly gain market share? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is C – Penetration** **A –** Skimming **-** this is not correct because it is when a business charges a high price to begin with **B –** Competition **-** this is not correct because it is when a business considers its competitors price before setting theirs **D –** Cost plus - this is not correct because it is adding a mark-up to the product	**(1)**

Type MS · Pricing strategies and when to use them

Answer 6 of 17 · Question 1 part a.ii · 1 mark

2025 JUN · Paper 01 (regional R) · extract 2 of 6 · find part a.ii in this mark scheme extract

Question Number	Which **one** of the following is most likely to improve the cash flow position of a small business to help prevent its failure? **Answer**	Mark
1 (a) (iii)	**AO1 - 1 mark** **(1)** Select **one** answer **The only correct answer is B – Paying suppliers later** **A** – Paying overhead costs sooner - this is not correct because it will increase the cash outflow **C** – Increasing the rate of pay for its employees- this is not correct because it will increase the cash outflow **D** –Decreasing the net cash flow - this is not correct because this means increased cash outflows compared to cash inflows	**(1)**

Question Number	Which **one** of the following is a financial business aim? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is C – Survival** **A –** Challenge - this is not correct because it is a non-financial business aim **B –** Independence - this is not correct because it is a non-financial business aim **D –** Control - this is not correct because it is a non-financial business aim	**(1)**

Type MS · Pricing strategies and when to use them

Answer 6 of 17 · Question 1 part a.ii · 1 mark

2025 JUN · Paper 01 (regional R) · extract 3 of 6 · find part a.ii in this mark scheme extract

Question Number	Which **one** of the following would *CCT* pay in CNY for **six** electric bicycles? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is D – 30 855.00 CNY** **A –** 550.00 CNY - this is not correct because it is the cost of one electric bicycle in £ **B –** 3 300.00 CNY - this is not correct because it is £550 x 6 bicycles **C –** 5 142.50 CNY - this is not correct because it is £550 x the exchange rate of 9.35	**(1)**

Question Number	Using **Figure 1** which **one** of the following is correct for *CCT*? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is C – it made a profit of 412 658 CYN** **A –** it made a loss of 1 031 646 CYN - this is not correct because it is the total costs **B –** it made a loss of 412 658 CYN - this is not correct because it is the total costs minus revenue **D –** it made a profit of 1 031 646 CYN - this is not correct because it is the total costs	**(1)**

Question Number	Define the term **branding**. **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **branding**. • A name or logo that distinguishes it from its competition **(1)**	**(1)**

Type MS · Pricing strategies and when to use them

Answer 6 of 17 · Question 1 part a.ii · 1 mark

2025 JUN · Paper 01 (regional R) · extract 4 of 6 · find part a.ii in this mark scheme extract

Question Number	Define the term **autonomy**. **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **autonomy**. • Employees are given the authority to make decisions about how they work **(1)**	**(1)**

Question Number	State **one** method of secondary market research *CCT* could use to collect market data. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a method of secondary market research *CCT* could use to collect market data. • The internet to search for other bicycle-hire businesses in the local area **(1)** **NB** Do not accept a way that is not in the context of *CCT*. **Accept any other appropriate response.**	**(1)**

Question Number	Calculate, to **two** decimal places, the current ratio for 2024. You are advised to show your working **Answer**	**Additional guidance**	Mark
1 (e)	**A02 - 2 marks** 561 258/ 233 098 **(1)** = 2.41 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Pricing strategies and when to use them

Answer 6 of 17 · Question 1 part a.ii · 1 mark

2025 JUN · Paper 01 (regional R) · extract 5 of 6 · find part a.ii in this mark scheme extract

Question Number	Explain **one** benefit to the business owner of operating as a private limited company. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for a benefit to an owner of a private limited company, plus 2 further marks for explaining the benefit, for a maximum of 3 marks. • A private limited company has limited liability **(1)** which reduces the risk of ownership **(1)** as personal possessions will be protected in the event the business has to pay back any outstanding debts **(1)** **NB** Answers that list three benefits with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Question Number	Analyse the concerns *CCT* may have of introducing this app for its customers. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Customers might be reluctant to download the app for a one-off biking experience • It can be costly for *CCT* to introduce an app where customers can book the bicycles. **AO3** • Its customers may have a lot of apps on their phones and might not see the point of downloading another one if they are only using it for a short amount of time whilst on holiday • *CCT* may not have the experience to create an app so may need to pay a designer to build the app and pay someone to maintain the app	**(6)**

Type MS · Pricing strategies and when to use them

Answer 6 of 17 · Question 1 part a.ii · 1 mark

2025 JUN · Paper 01 (regional R) · extract 6 of 6 · find part a.ii in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Question Number	State **one** financial method of motivation *CCT* could use with its employees. **Answer**	Mark

Type MS · Pricing strategies and when to use them

Answer 7 of 17 · Question 1 part a.ii · 1 mark

2025 JUN · Paper 01 · extract 1 of 6 · find part a.ii in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is B – Current liability** **A –** Current asset - this is not correct because it is something a business owns that can be converted to cash within 12 months **C** – Non-current asset - this is not correct because it is something owned by a business for longer than 12 months **D** – Non-current liability - this is not correct because it is a debt to be paid back longer than 12 months	**(1)**

Question Number	Which **one** of the following is a pricing strategy where a business sets an initial high price for a product new to the market? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is A – Skimming** **B –** Competition **-** this is not correct because it is when a business considers its competitors price before setting theirs **C –** Penetration **-** this is not correct because it is when a business charges a low price to begin with before setting its own price **D –** Cost plus - this is not correct because it is adding a percentage to the cost of making the product	**(1)**

Type MS · Pricing strategies and when to use them

Answer 7 of 17 · Question 1 part a.ii · 1 mark

2025 JUN · Paper 01 · extract 2 of 6 · find part a.ii in this mark scheme extract

Question Number	Which **one** of the following is a role of the human resources department? **Answer**	Mark
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is D – Recruiting employees** **A** – Reducing costs - this is not correct because it is the role of finance **B** – Designing products- this is not correct because it is the role of production **C** – Customer Service - this is not correct because it is the role of marketing	**(1)**

Question Number	Which **one** of the following is a benefit to a shareholder of having limited liability? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is C – Own possessions are not at risk** **A –** Choosing who buys shares - this is not correct because this is a benefit of owning a private limited company **B –** May build a better relationship with suppliers - this is not correct because it is a benefit of loyalty to a supplier **D –** Employee motivation will increase - this is not correct because it is a benefit of a good relationship with employees	**(1)**

Type MS · Pricing strategies and when to use them

Answer 7 of 17 · Question 1 part a.ii · 1 mark

2025 JUN · Paper 01 · extract 3 of 6 · find part a.ii in this mark scheme extract

Question Number	Which **one** of the following is the break-even level of output? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is B - 350** **A** – 280 - this is not correct because it is the fixed costs **C** – 420 - this is not correct because it is the fixed costs multiplied by revenue **D** – 616 - this is not correct because it is the revenue added to variable cost per unit then multiplied by fixed costs	**(1)**

Question Number	Which **one** of the following statements from **Figure 2** correctly applies to the gym equipment business? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is C – it made a profit of €43 765** **A** – It made a loss of €88 400 - this is not correct because it is the total costs **B** – It made a loss of €61 165 - this is not correct because it is (€54 000 + €17 000) – €132 165 **D** – It made a profit of €78 165 - this is not correct because it is €132 165 - €54 000	**(1)**

Question Number	Define the term **trade bloc.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **trade bloc**. • A group of countries that work together to benefit from trade free of barriers **(1)**	**(1)**

Type MS · Pricing strategies and when to use them

Answer 7 of 17 · Question 1 part a.ii · 1 mark

2025 JUN · Paper 01 · extract 4 of 6 · find part a.ii in this mark scheme extract

Question Number	Define the term **job production.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **job production**. • The one-off production of a customised product to meet a customers' specific needs **(1)**	**(1)**

Question Number	State **one** reason why *Four Fitness* would pay its employees more than the minimum wage. **Answer**	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a reason *Four Fitness* would pay its employees higher than minimum wage. • Its gym instructors are highly qualified and skilled **(1)** **NB** Do not accept a reason that is not in the context of *Four Fitness*. **Accept any other appropriate response.**	**(1)**

Question Number	Calculate the total price if five *Four Fitness* members attend the event. You are advised to show your working. **Answer**	**Additional guidance**	Mark
1 (e)	**AO2 - 2 marks** 175 – 12.25 = 162.75 **(2)** 35 x 5 = 175 **(1)** 175 x 0.07 = 12.25 **(1)**	Award full marks for correct numerical answer without working. Award 1 mark for correctly substituting numbers into formula.	**(2)**

Type MS · Pricing strategies and when to use them

Answer 7 of 17 · Question 1 part a.ii · 1 mark

2025 JUN · Paper 01 · extract 5 of 6 · find part a.ii in this mark scheme extract

Question Number	Explain **one** impact to a business of providing fringe benefits to employees. **Answer**	Mark
1 (f)	**AO1 - 3 marks** Award 1 mark for an impact to a business of providing fringe benefits to employees, plus 2 further marks for explaining the impact, for a maximum of 3 marks. • Lower staff turnover **(1)** which reduces recruitment costs **(1)** as they will not need to find new employees **(1)** **NB** Answers that list three impacts with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Question Number	Analyse the effectiveness of the wide span of control used by Gianni Polvani. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Gianni will be able to empower his employees directly within the gym as there are no layers between him and them • 14 employees may be too many for Gianni to manage himself especially as he has two gyms to run **AO3** • Employees will be more motivated as decisions will be made quicker and this will encourage them to take ownership of their own work resulting in them bringing in new ideas to the gym • He may not be able to spread his time evenly between all the workers which could lead to lower productivity levels because of this reduced supervision	**(6)**

Type MS · Pricing strategies and when to use them

Answer 7 of 17 · Question 1 part a.ii · 1 mark

2025 JUN · Paper 01 · extract 6 of 6 · find part a.ii in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Question Number	State **one** factor *Four Fitness* may consider when choosing a location for its new gym. **Answer**	Mark

Type MS · Pricing strategies and when to use them

Answer 8 of 17 · Question 1 part d · 1 mark

2025 NOV · Paper 01 · extract 1 of 9 · find part d in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is C –** Sales promotion **A** – is not the correct answer as workforce planning is a role within the human resources function **B** – is not the correct answer as quality control is a role withing the production function **D** – is not the correct answer as training employees is a role in the human resources function	**(1)**

Question Number	Which **one** of the following is an example of a non-financial method of motivation? **Answer**	**Mark**
1 (a)(ii)	**AO1 - 1 mark** **The only correct answer is D –** Job rotation **A** – is not the correct answer as a bonus is a financial method of motivation **B** – is not the correct answer as remuneration is a financial method of motivation **C** – is not the correct answer as fringe benefits are financial methods of motivation	**(1)**

Type MS · Pricing strategies and when to use them

Answer 8 of 17 · Question 1 part d · 1 mark

2025 NOV · Paper 01 · extract 2 of 9 · find part d in this mark scheme extract

Question Number	Which **one** of the following is a phase of the product life cycle? **Answer**	Mark
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is A** – Introduction **B** – is not the correct answer as a cash cow is a phase of the Boston matrix **C** – is not the correct answer as a dog is a phase of the Boston matrix **D** – is not the correct answer as a star is a phase of the Boston matrix	**(1)**

Question Number	Which **one** of the following is an example of a public service provided by the government? **Answer**	Mark
1 (a)(iv)	**AO1 - 1 mark** **The only correct answer is B –** Police force **A** - is not the correct answer as a clothing retailer is not a public service **C** – is not the correct answer as a mobile phone provider is not a public service **D** – is not the correct answer as a grocery store is not a public service	**(1)**

Type MS · Pricing strategies and when to use them

Answer 8 of 17 · Question 1 part d · 1 mark

2025 NOV · Paper 01 · extract 3 of 9 · find part d in this mark scheme extract

Question Number	Which **one** of the following is the interest charged by the bank on an overdraft of €1 400? **Answer**	Mark
1 (a)(v)	**AO1 - 1 mark** **The only correct answer is B –** €168 **A** – is not the correct answer as €140 is 10% of €1 400 **C** – is not the correct answer as €1 388 is €1 400 minus 12 **D** – is not the correct answer as €1 568 is €1 400 plus 12%	**(1)**

Question Number	Which **one** of the following is the percentage change in the total costs between 2022 and 2023 **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is C –** 10.53% **A** – is not the correct answer as 0.90% is 380 000/420 000 **B** – is not the correct answer as 9.52% is 40 000/420 000 x 100 **D** – is not the correct answer as 90.48% is 380 000/420 000 x 100	**(1)**

Question Number	Define the term **primary sector.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **primary sector.** • Businesses involved in the extraction of raw materials	**(1)**

Type MS · Pricing strategies and when to use them

Answer 8 of 17 · Question 1 part d · 1 mark

2025 NOV · Paper 01 · extract 4 of 9 · find part d in this mark scheme extract

Question Number	Define the term **shareholder.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of a **shareholder.** • Anyone who buys a share in a business **(1)**	**(1)**

Question Number	State **one** benefit to *Ocean Vibes* of using competition pricing. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a benefit to *Ocean Vibes* of using competition pricing. • *Ocean Vibes* may attract sales from other boat tour businesses **(1)** **NB** Do not accept a benefit that is not in the context of *Ocean Vibes* **Accept any other appropriate response.**	**(1)**

Type MS · Pricing strategies and when to use them

Answer 8 of 17 · Question 1 part d · 1 mark

2025 NOV · Paper 01 · extract 5 of 9 · find part d in this mark scheme extract

Question Number	Calculate the price of the boat tour in UK pounds (£). You are advised to show your working. **Answer**	Mark
1 (e)	**A02 - 2 marks** Award 2 marks for the correct answer. £57 **(2)** OR Award 1 mark for working 60 x 0.95 **(1)**	**(2)**

Type MS · Pricing strategies and when to use them

Answer 8 of 17 · Question 1 part d · 1 mark

2025 NOV · Paper 01 · extract 6 of 9 · find part d in this mark scheme extract

Question Number	Explain **one** advantage to an individual of being a sole trader. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for an advantage to an individual of being a sole trader plus 2 further marks for explaining the advantage for a maximum of 3 marks. • The individual has complete control over the business **(1)** as they make all the decisions for the business **(1)** therefore decisions for the business can be made quickly **(1)** • The individual keeps all the profits **(1)** as they have no partners/shareholders within the business **(1)** which means that they can increase their personal wealth **(1)** **NB** No marks are awarded for a definition. Answers that list three advantages to an individual of being a sole trader with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Pricing strategies and when to use them

Answer 8 of 17 · Question 1 part d · 1 mark

2025 NOV · Paper 01 · extract 7 of 9 · find part d in this mark scheme extract

Question Number	Analyse why *Ocean Vibes* should measure employee satisfaction. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Measuring employee satisfaction at *Ocean Vibes* will help it to retain its tour guides who operate the dolphin and bird tours • If employees at *Ocean Vibes* are satisfied, they will be motivated to provide good quality boat tours **AO3** • This will reduce recruitment and training costs for *Ocean Vibes* which may lead to higher levels of profitability • This may lead to good reviews from customers which may encourage good recommendation and increased sales	**(6)**

Type MS · Pricing strategies and when to use them

Answer 8 of 17 · Question 1 part d · 1 mark

2025 NOV · Paper 01 · extract 8 of 9 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Pricing strategies and when to use them

Answer 8 of 17 · Question 1 part d · 1 mark

2025 NOV · Paper 01 · extract 9 of 9 · find part d in this mark scheme extract

Question Number	State **one** fixed cost *Ocean Vibes* is likely to pay. **Answer**	**Mark**

Type MS · Pricing strategies and when to use them

Answer 9 of 17 · Question 2 part c · 3 marks

2019 JUN · Paper 01 (regional R) · extract 1 of 6 · find part c in this mark scheme extract

2 (a)	**AO2 - 1 mark** Award 1 mark for any valid method of motivation in the context of the business. • Job rotation between L.cafe, L.bistro and L.table **(1).** • Job enrichment to give more complex tasks other than just serving customers **(1).** **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Mark
2 (b)	**AO2 - 1 mark** Award 1 mark for any valid responsibility of the finance function in the context of the business. Calculate and pay the wages/salaries of the staff in *L.table* **(1).** Pay suppliers of baking ingredients on time **(1).** **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Mark
2 (c)	**AO1 - 3 marks** Award 1 mark for identification of a way a business can use penetration pricing, plus 2 further marks for explaining this way, for a maximum of 3 marks. • A business can offer a low price for a new product **(1).** This will entice customers to try the new product in its introduction stage **(1)** and stop them from buying from the competitors **(1).** Answers that list three ways with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Pricing strategies and when to use them

Answer 9 of 17 · Question 2 part c · 3 marks

2019 JUN · Paper 01 (regional R) · extract 2 of 6 · find part c in this mark scheme extract

Question Number	Answer	Mark
2 (d)	**AO1 - 3 marks** Award 1 mark for identification of a reason why a business would have a short span of control, plus 2 further marks for explaining this reason, for a for a maximum of 3 marks. • This will allow the business to have better communication with its employees **(1)** as messages have less levels to go through **(1)** leading to a more productive workforce **(1).** Answers that list three reasons with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Question Number	Answer	Mark
2 (e)	**AO1 - 3 marks** Award 1 mark for identification of a reason why diseconomies of scale may occur, plus 2 further marks for explaining this reason, for a maximum of 3 marks. • The business gets too big **(1)** employees can become demotivated **(1),** which could result in falling productivity levels **(1).** Answers that list more than one reason with no explanation will get a maximum of one mark. **Accept any other appropriate response.**	**(3)**

Type MS · Pricing strategies and when to use them

Answer 9 of 17 · Question 2 part c · 3 marks

2019 JUN · Paper 01 (regional R) · extract 3 of 6 · find part c in this mark scheme extract

Question Number	Indicative content	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • Option 1 – Each outlet could match the needs of the local customers. • Option 2 – *Lavender* could use Flow Production to make all its cakes the same for all outlets. **AO3** • Options 1 – The needs of the customers from that area will be met and sales will increase. • Option 2 – Lavender could produce more cakes in less time, thus ensuring supplies to all its outlets. **AO4** • Option 1 – However, there will not be consistencies across all outlets and that will make the movement of employees difficult. • Option 2 – However, flow production is very difficult to change and cannot take in to account regional tastes and if the cakes do not sell then there is a potential for the business to make a loss.	**(9)**

Type MS · Pricing strategies and when to use them

Answer 9 of 17 · Question 2 part c · 3 marks

2019 JUN · Paper 01 (regional R) · extract 4 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Pricing strategies and when to use them

Answer 9 of 17 · Question 2 part c · 3 marks

2019 JUN · Paper 01 (regional R) · extract 5 of 6 · find part c in this mark scheme extract

Type MS · Pricing strategies and when to use them

Answer 9 of 17 · Question 2 part c · 3 marks

2019 JUN · Paper 01 (regional R) · extract 6 of 6 · find part c in this mark scheme extract

Question Number	Answer	Mark

Type MS · Pricing strategies and when to use them

Answer 10 of 17 · Question 2 part f · 9 marks

2019 JUN · Paper 02 · extract 1 of 6 · find part f in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a valid reason for a non-financial objective in the context of the business. • Social objectives of working with the local area and helping children and communities **(1)**. • *Tata Motor Company* wants a good image of producing a car that does not harm the environment too much **(1)**. **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Mark
2 (b)	**A02 - 1 mark** Award 1 mark for a valid reason of employing casual staff in the context of the business. • When *Tata Motor Company* is busy, with many new orders for its vehicles **(1)**. • When someone is off on long-term sick from the production line **(1)**. **Accept any other appropriate response.**	**(1)**

Type MS · Pricing strategies and when to use them

Answer 10 of 17 · Question 2 part f · 9 marks

2019 JUN · Paper 02 · extract 2 of 6 · find part f in this mark scheme extract

Question Number	Answer	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for identification of a reason for using fringe benefits, plus 2 further marks for explaining why fringe benefits are beneficial for a business, for a maximum of 3 marks. • Employees will be motivated. **(1)** This could lead to improvement in productivity **(1)** and higher sales **(1).** NB Answers that list three benefits with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Question Number	Answer	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for a reason to use job production, plus 2 further marks for explaining this reason, for a maximum of 3 marks. • Job production is used to produce a unique piece of work. **(1)** It is made to meet the exact needs of the customer **(1)** that requires time and skills of the employees **(1).** Answers that list three reasons with no explanation will get a maximum of 1 mark. NB No marks are awarded for a definition. **Accept any other appropriate response**.	**(3)**

Type MS · Pricing strategies and when to use them

Answer 10 of 17 · Question 2 part f · 9 marks

2019 JUN · Paper 02 · extract 3 of 6 · find part f in this mark scheme extract

Question Number	Answer	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for the identification of a benefit of a short chain of command, plus 2 further marks for explaining that benefit, for a maximum of 3 marks. • A short chain of command means that communication between workers and managers is less **(1)**. Therefore there is less chance of messages being mistaken **(1)**. Managers are less remote and therefore if there is a problem they can sort it out quicker **(1)**. Answers that list three benefits of short chains of commands with no explanation will get a maximum of 1 mark. NB No marks are awarded for a definition. **Accept any other appropriate response.**	**(3)**

Type MS · Pricing strategies and when to use them

Answer 10 of 17 · Question 2 part f · 9 marks

2019 JUN · Paper 02 · extract 4 of 6 · find part f in this mark scheme extract

Question Number	Indicative content	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – With cost plus pricing *Tata Motor Company* know that the cost of making the vehicle has been covered. • **Option 2** – If *Tata Motor Company* uses promotional pricing it is a good strategy for selling new vehicles. **AO3** • **Option 1** – *Tata Motor Company* knows that if the cars are selling well it is making money, which means more profit for the business. • **Option 2** – The lower price from the promotional price will result in higher sales. **AO4** • **Option 1** – Although this type of pricing method guarantees a profit on the cost of manufacturer it does not guarantee that sales are going to be made, especially if a competitor is cheaper, therefore selling more vehicles. • **Option 2** - Even though the sales may be higher, the profit per vehicle will be lower.	**(9)**

Type MS · Pricing strategies and when to use them

Answer 10 of 17 · Question 2 part f · 9 marks

2019 JUN · Paper 02 · extract 5 of 6 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Pricing strategies and when to use them

Answer 10 of 17 · Question 2 part f · 9 marks

2019 JUN · Paper 02 · extract 6 of 6 · find part f in this mark scheme extract

Question Number	Answer	Mark

Type MS · Pricing strategies and when to use them

Answer 11 of 17 · Question 2 part f · 9 marks

2021 JUN · Paper 01 · extract 1 of 6 · find part f in this mark scheme extract

2 (a)	A02 - 1 mark Award 1 mark for a valid external factor in the context of the business. • A change in demand patterns could lead to people buying more organic farmed produce (1). Accept any other appropriate response.	**(1)**

Question Number	State one reason why NOF might use other retailers to sell its products Answer	Mark
2 (b)	A02 - 1 mark Award 1 mark for a valid reason of using retailers in the context of the business. • NOF is able to sell its organic farmed produce to other outlets giving it a wider market (1). Accept any other appropriate response.	**(1)**

Type MS · Pricing strategies and when to use them

Answer 11 of 17 · Question 2 part f · 9 marks

2021 JUN · Paper 01 · extract 2 of 6 · find part f in this mark scheme extract

Question Number	Explain one benefit to a business of using secondary market research Answer	Mark
2 (c)	A01 - 3 marks Award 1 mark for identification of a benefit to a business of using secondary market research, plus 2 further marks for explaining this benefit for a business, for a maximum of 3 marks. • Businesses save money by not carrying out the research themselves (1) as the information is freely accessible on the internet (1) and they can access a large amount of information at no cost (1). NB Answers that list three benefits with no explanation will get a maximum of 1 mark. Accept any other appropriate response.	**(3)**

Question Number	Explain one limitation of a cash flow forecast when making business decisions Answer	Mark
2 (d)	A01 - 3 marks Award 1 mark for identification of a limitation of a cash flow forecast, plus 2 further marks for explaining this limitation, for a maximum of 3 marks. • A limitation is that it is a forecast not actual figure (1). The forecast does not show what happens if goods are not sold (1) or provide a contingency plan if this occurs (1). NB Answers that list three limitations with no explanation will get a maximum of 1 mark. Accept any other appropriate response.	**(3)**

Type MS · Pricing strategies and when to use them

Answer 11 of 17 · Question 2 part f · 9 marks

2021 JUN · Paper 01 · extract 3 of 6 · find part f in this mark scheme extract

Question Number	Explain one benefit to a business of using crowdfunding as a source of finance Answer	Mark
2 (e)	A01 - 3 marks Award 1 mark for the identification of a benefit of using crowdfunding as a source of finance, plus 2 further marks for explaining that benefit, for a maximum of 3 marks. • Crowdfunding can be a fast way to raise finance (1) from many small investors (1) when no other lender may be available (1) NB Answers that list three benefits with no explanation will get a maximum of 1 mark. Accept any other appropriate response.	**(3)**

Type MS · Pricing strategies and when to use them

Answer 11 of 17 · Question 2 part f · 9 marks

2021 JUN · Paper 01 · extract 4 of 6 · find part f in this mark scheme extract

Question Number	NOF is considering two options to introduce the product into the market: Option 1: offering a low introductory price for three months Option 2: selling at the same price as competitors. Justify which one of these two options NOF should choose. Indicative content	Mark
2 (f)	AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks AO2 • Option 1 – By offering an introductory price could entice shoppers in the farm shop to try the popcorn. • Option 2 – Customers might recognise the farm's name so will buy the popcorn when comparing to its competition. AO3 • Option 1 – This could lead to an increase in sales due to the low price and will increase revenue. • Option 2 – NOF could see an increase in customers as it is a local brand that people trust so are more willing to buy a new product that it launches. AO4 • Option 1 – However, the profit on each bag of popcorn will be low even though sales may increase so in the short-term profits might suffer. • Option 2 – However, as they do not have an established brand of popcorn customers may choose to buy a more popular branded popcorn they know.	**(9)**

Type MS · Pricing strategies and when to use them

Answer 11 of 17 · Question 2 part f · 9 marks

2021 JUN · Paper 01 · extract 5 of 6 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4–6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7– 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Pricing strategies and when to use them

Answer 11 of 17 · Question 2 part f · 9 marks

2021 JUN · Paper 01 · extract 6 of 6 · find part f in this mark scheme extract

Question Number	Define the term remuneration Answer	Mark

Type MS · Pricing strategies and when to use them

Answer 12 of 17 · Question 3 part e · 9 marks

2021 NOV · Paper 02 · extract 1 of 5 · find part e in this mark scheme extract

3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of revenue. • Income from the sale of goods and services **(1)**	**(1)**

Question Number	Outline **one** reason why *Huawei* would use robotics in the production of its products. **Answer**	**Mark**
3 (b)	**A02 - 2 marks** Award 1 mark for identifying a reason why *Huawei* would use robotics, plus 1 further mark for linking it to the context of the question. • *Huawei* could use robots to produce its smartphones because they are quicker and more accurate than employees **(1)** Robots do not need a break and can work 24/7 **(1)** NB Do not accept a reason that is not in the context of *Huawei.* **Accept any other appropriate response.**	**(2)**

Question Number	Calculate the interest *Huawei* would pay. **Answer**	**Additional guidance**	**Mark**
3 (c)	**A02 - 2 marks** 69 941 000 000 x 4.5/100 **(1)** = 3 147 345 000 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

4BS1 02 November 2021

Type MS · Pricing strategies and when to use them

Answer 12 of 17 · Question 3 part e · 9 marks

2021 NOV · Paper 02 · extract 2 of 5 · find part e in this mark scheme extract

Question Number	Analyse why *Huawei* offers its new employees in the design department off-the job training. **Indicative content**	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • This involves new employees being trained outside *Huawei* at an external college by tutors and/or other experts in modern technology such as smartphones and tablets • Employees can learn at their own pace the detail and requirements of producing smartphones and tablets **AO3** • As a result, it means that *Huawei* present employees concentrate on their work, and do not have to supervise or train new employees • Employees do not have to worry about making mistakes or errors that could cost *Huawei* money	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3–4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5–6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

4BS1 02 November 2021

Type MS · Pricing strategies and when to use them

Answer 12 of 17 · Question 3 part e · 9 marks

2021 NOV · Paper 02 · extract 3 of 5 · find part e in this mark scheme extract

Question Number	**Option 1:** competition pricing **Option 2:** promotional pricing. **Indicative content**	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – If *Huawei* uses this method of pricing, then it is likely to gain sales of the new smartphone because the price will be realistic • **Option 2** – Selling at a cheaper price encourages customers to switch from their present brand to *Huawei* **AO3** • **Option 1** – This pricing strategy means that the consumers have more choice of smartphones as they are all priced at a similar rate • **Option 2** – *Huawei* could gain a larger market share of smartphone users who change brands **AO4** • **Option 1** – However, this does not always mean that the cost of production is covered and if *Huawei* uses this method, it may lose out financially • **Option 2** – However, promotional pricing may generate sales for the length of time of the promotion, but once the price of the smartphones reverts to their normal price it may reduce sales	**(9)**

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Type MS · Pricing strategies and when to use them

Answer 12 of 17 · Question 3 part e · 9 marks

2021 NOV · Paper 02 · extract 4 of 5 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4–6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7– 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Pricing strategies and when to use them

Answer 12 of 17 · Question 3 part e · 9 marks

2021 NOV · Paper 02 · extract 5 of 5 · find part e in this mark scheme extract

Question Number	Calculate the cost of this smartphone in US Dollars **Answer**	**Additional guidance**	**Mark**

Type MS · Pricing strategies and when to use them

Answer 13 of 17 · Question 2 part f · 9 marks

2022 JUN · Paper 02 · extract 1 of 7 · find part f in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a financial objective in the context of the business. • *LEGO* wants to maintain its market share in the toy sector **(1)** • By achieving financial security, it allows *LEGO* to provide employment for its 18,000 employees **(1)** **NB** Do not accept if the objective is not in the context of *LEGO*. **Accept any other appropriate response.**	**(1)**

Question Number	State **one** reason why *LEGO* does not recruit casual employees. **Answer**	**Mark**
2 (b)	**A02 - 1 mark** Award 1 mark for a valid reason why *LEGO* do not employ casual employees in the context of the business. • Casual employees may not have the commitment to ensuring that the art materials they produce are of the high standard set by *LEGO* **(1)** • Casual employees may take longer to understand how the Harry Potter games are labelled and packed ready for despatch **(1)** **NB** Do not accept a reason that is not in the context of *LEGO*. **Accept any other appropriate response.**	**(1)**

Type MS · Pricing strategies and when to use them

Answer 13 of 17 · Question 2 part f · 9 marks

2022 JUN · Paper 02 · extract 2 of 7 · find part f in this mark scheme extract

Question Number	Explain **one** reason why a business would pay its employees above the minimum wage. **Answer**	**Mark**
2 (c)	**A01 - 3 marks** Award 1 mark why a business would pay its employees above the minimum wage, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Paying above the minimum wage will encourage more employees to work at a business **(1)** as they could be paid more than at a competitor **(1)** and they are likely to stay with the business because of the payment they receive **(1)** • Employees will feel more rewarded because of the pay they receive **(1)** and this could increase their motivation at work **(1)** and also improve their productivity **(1)** NB No marks are awarded for a definition. Answers that list three reasons why a business would pay above minimum wage with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Pricing strategies and when to use them

Answer 13 of 17 · Question 2 part f · 9 marks

2022 JUN · Paper 02 · extract 3 of 7 · find part f in this mark scheme extract

Question Number	Explain **one** reason why product trials are important to a business. **Answer**	**Mark**
2 (d)	**A01 - 3 marks** Award 1 mark for a reason why product trials are important, plus 2 further marks for explaining this reason, for a maximum of 3 marks. • Gain customer feedback on a new product **(1)** identify strength/weaknesses/problems **(1)** which can then be addressed before the product enters the wider market **(1)** • By offering a customer a three month trial on electronic games **(1)** the customer can find out if they like the games **(1)** and if they do, they may a purchase the game console **(1)** NB No marks are awarded for a definition. Answers that list three reasons with no explanation will get 1 mark only. **Accept any other appropriate response**.	**(3)**

Type MS · Pricing strategies and when to use them

Answer 13 of 17 · Question 2 part f · 9 marks

2022 JUN · Paper 02 · extract 4 of 7 · find part f in this mark scheme extract

Question Number	Explain **one** reason why a business complies with health and safety legislation. **Answer**	**Mark**
2 (e)	**A01 - 3 marks** Award 1 mark for identification why a business complies with health and safety legislation plus 2 further marks for explaining this reason, for a maximum of 3 marks. • If a business does not comply with the laws given by the country **(1)** they could be fined/sued if there was an accident or someone was injured **(1)** and the business could be fined/closed down for not complying with the legislation **(1)** • It ensures all staff are protected against injuries **(1)** meaning less days are lots to illness **(1)** and reducing the need to get in temporary cover saving costs **(1)** NB No marks are awarded for a definition. Answers that list three reasons with no explanation will get a 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Pricing strategies and when to use them

Answer 13 of 17 · Question 2 part f · 9 marks

2022 JUN · Paper 02 · extract 5 of 7 · find part f in this mark scheme extract

Question Number	**Option 1:** cost plus **Option 2:** skimming. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1 –** This is easy to apply and *LEGO* will know that the cost of manufacturing the Princess Leia toy is covered when sold • **Option 2 -** This means that the new Princess Leia toy is sold at a high price when it is released **AO3** • **Option 1** – As each new toy is sold *LEGO* will know that it is making a profit on each sale • **Option 2** - As each toy is sold it will have a high profit margin, if only a few toys are sold the profits would still be high because they know that as Star Wars toys are popular and will sell **AO4** • **Option 1** - However, even though this pricing strategy guarantees a profit, there is no guarantee that the toys will be sold as customer may wait until the price falls • **Option 2** - However, this strategy might limit the number of potential customers wanting to buy the product as the price is too high.	**(9)**

Type MS · Pricing strategies and when to use them

Answer 13 of 17 · Question 2 part f · 9 marks

2022 JUN · Paper 02 · extract 6 of 7 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Pricing strategies and when to use them

Answer 13 of 17 · Question 2 part f · 9 marks

2022 JUN · Paper 02 · extract 7 of 7 · find part f in this mark scheme extract

Question Number	Define the term **delegation**. **Answer**	Mark

Type MS · Pricing strategies and when to use them

Answer 14 of 17 · Question 3 part e · 9 marks

2023 NOV · Paper 01 · extract 1 of 5 · find part e in this mark scheme extract

3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of **job production.** • Method of production that involves all factors to complete one unit of output at a time **(1)**	**(1)**

Question Number	Outline why *AWG* can be classified as operating in the secondary sector. **Answer**	**Mark**
3 (b)	**A02 - 2 marks** Award 1 mark for identifying why *AWG* can be classified as operating in the secondary sector, plus 1 further mark for linking it to the context of the business. • *AWG* take raw materials **(1)** to convert them into jumpers and dresses **(1)** **NB** Do not accept why that is not in the context of *AWG*. **Accept any appropriate response.**	**(2)**

Question Number	Calculate the total amount, including interest, *AWG* would have paid to the bank. **Answer**	**Additional guidance**	**Mark**
3 (c)	**A02 - 2 marks** 70 000 x 0.065 = 4 550 **(1)** 70 000 + 4 550 = 74 550 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Pricing strategies and when to use them

Answer 14 of 17 · Question 3 part e · 9 marks

2023 NOV · Paper 01 · extract 2 of 5 · find part e in this mark scheme extract

Question Number	Analyse the impact on *AWG* of a depreciation of the ISK. **Indicative content**	**Mark**
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Exchange rates will affect the price that *AWG* will pay for importing the wool and other materials they buy to make the clothing • The cost of the jumpers bought by customers in other countries will be impacted by a change in the exchange rate **AO3** • A depreciating krona could lead to an increase in the cost of material purchased by *AWG* and may result in an increase in the price of the clothing • A depreciating krona may lead to an increase in demand from overseas customers who benefit from the change in the exchange rate	**(6)**

Level	**Mark**	**Descriptor**
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Pricing strategies and when to use them

Answer 14 of 17 · Question 3 part e · 9 marks

2023 NOV · Paper 01 · extract 3 of 5 · find part e in this mark scheme extract

Question Number	**Option 1:** competition pricing **Option 2:** cost plus pricing Justify which **one** of these two options *AWG* should choose. **Indicative content**	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – Competition pricing would see *AWG* selling clothing at similar prices to other clothing retailers • **Option 2** – Cost plus pricing would mean *AWG* would calculate the costs of making the jumpers and then add a markup for profit **AO3** • **Option 1** – This may increase the chance of selling the clothes as younger customers are likely to compare the prices of clothing especially if their income is low • **Option 2** – *AWG* can guarantee that they would make a profit on each item sold **AO4** • **Option 1** – However, as *AWG* use sustainable materials in its jumpers, the manufacturing cost of the clothing may be high, which means selling at a competitive price may not be feasible • **Option 2** – However, cost plus pricing does not account for what the customer is willing to pay, and *AWG* could be losing out on possible increased revenue/profits	**(9)**

Type MS · Pricing strategies and when to use them

Answer 14 of 17 · Question 3 part e · 9 marks

2023 NOV · Paper 01 · extract 4 of 5 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Pricing strategies and when to use them

Answer 14 of 17 · Question 3 part e · 9 marks

2023 NOV · Paper 01 · extract 5 of 5 · find part e in this mark scheme extract

Question Number	Calculate the commission payment paid to an employee selling 12 jumpers. **Answer**	**Additional guidance**	**Mark**

Type MS · Pricing strategies and when to use them

Answer 15 of 17 · Question 2 part f · 9 marks

2024 JUN · Paper 02 · extract 1 of 6 · find part f in this mark scheme extract

2 (a)	**AO2 - 1 mark** Award 1 mark for a possible reason why *TUI* would want to keep its customers loyal in the context of the business • Loyal customers will return to *TUI* when they want to book another one of its hotels, thereby increasing its revenue **(1)** • *TUI* wants its customers to return again and again to purchase different types of cruises thereby increasing revenue **(1)** **NB** Do not accept a possible reason that is not in the context of *TUI*. Accept any appropriate response	**(1)**

Q. No.	State **one** reason why *TUI* would employ casual employees. **Answer**	**Mark**
2 (b)	**AO2 - 1 mark** Award 1 mark for a valid reason why *TUI* employs casual staff in the context of the business • If an employee is off sick at a holiday resort someone is needed to cover the greeting of customers arriving at holiday hotels **(1)** • During busy times when there are many people taking holidays extra employees may be needed to sell tours and excursions **(1)** **NB** Do not accept a reason that is not in the context of *TUI*. Accept any appropriate response	**(1)**

Type MS · Pricing strategies and when to use them

Answer 15 of 17 · Question 2 part f · 9 marks

2024 JUN · Paper 02 · extract 2 of 6 · find part f in this mark scheme extract

Q. No.	Explain **one** reason why businesses employ people with disabilities. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for identification of a reason why businesses employ people with disabilities, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Employing people with a disability gives them an equal opportunity of working **(1)** which improves their lifestyle **(1)** and develops the skills they have **(1)** • Businesses must follow government legislation relating to disabled people **(1)** if businesses do not follow the legislation **(1)** they can be sued **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Type MS · Pricing strategies and when to use them

Answer 15 of 17 · Question 2 part f · 9 marks

2024 JUN · Paper 02 · extract 3 of 6 · find part f in this mark scheme extract

Q. No.	Explain **one** benefit to a business of having a short chain of command. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for identification of one benefit to a business of having a short chain of command, plus 2 further marks for explaining the benefits, for a maximum of 3 marks. • Communication within a business would be faster **(1)** as there are less levels to go through **(1)** so fewer mistakes may be made **(1)** • A short chain means that workers and managers work closely together. **(1)** Managers are less remote **(1)** and if there is a query it can be answered quickly **(1)** **NB** No marks are awarded for a definition. Answers that list three benefits with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Q. No.	Explain **one** important piece of information that should be included in a job advertisement in a newspaper. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for identification of one important piece of information that should be included in a job advertisement in a newspaper, plus 2 further marks for explaining the importance, for a maximum of 3 marks. • An address, telephone number or website **(1)** to use for making contact **(1)** this range would give a greater choice to applicants **(1)** • By including the salary in the advertisement **(1)** people will apply if the amount offered is of interest to them **(1)** saving applicants time and effort so they apply for the job they want **(1)** **NB** No marks are awarded for a definition. Answers that list three pieces of information with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Type MS · Pricing strategies and when to use them

Answer 15 of 17 · Question 2 part f · 9 marks

2024 JUN · Paper 02 · extract 4 of 6 · find part f in this mark scheme extract

Q. No.	**Option 1:** competition pricing **Option 2:** promotional pricing Justify which **one** of these two options *TUI* should choose. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks, AO3 = 3 marks, AO4 = 3 marks** **AO2** • **Option 1** – If *TUI* uses this method of pricing, then it is like to gain sales for the holiday, as customers will want to book as the price is comparable to other holiday businesses • **Option 2** – Selling holidays and experiences at a cheaper price encourages customers to move from other travel agents to *TUI* **AO3** • **Option 1** – This pricing strategy means that customers have more choice from travel businesses offering this destination as they are all priced at a similar level • **Option 2** – This could mean that *TUI* gains a larger market share of holidaymakers who switch from other travel agents **AO4** • **Option 1** – However, this does not mean that the cost of including this holiday in its brochures is covered, and if *TUI* uses this method, it could lose out financially • **Option 2** – However, promotional pricing may generate sales for the short promotional period, but once the price of the holiday reverts to its normal price sales could reduce	**(9)**

Type MS · Pricing strategies and when to use them

Answer 15 of 17 · Question 2 part f · 9 marks

2024 JUN · Paper 02 · extract 5 of 6 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Pricing strategies and when to use them

Answer 15 of 17 · Question 2 part f · 9 marks

2024 JUN · Paper 02 · extract 6 of 6 · find part f in this mark scheme extract

Q. No.	Define the term **multinationals.** **Answer**	Mark

Type MS · Pricing strategies and when to use them

Answer 16 of 17 · Question 3 part e · 9 marks

2024 NOV · Paper 01 · extract 1 of 6 · find part e in this mark scheme extract

3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of **legislation.** • A law put in place to protect individuals or businesses **(1)**	**(1)**

Question Number	Outline **one** reason why *Saha* may dismiss an employee. **Answer**	**Mark**
3 (b)	**A02 - 2 marks** Award 1 mark for identifying one reason why *Saha* may dismiss an employee, plus 1 mark for development in the context of the business. • *Saha* could dismiss an employee who continually arrives late on the production line **(1)** which causes delays in delivery of robots to restaurants **(1)** **NB** Do not accept a reason that is not in the context of Saha. **Accept any other appropriate response.**	**(2)**

Question Number	Calculate the cash outflow. You are advised to show your working. **Answer**	**Additional guidance**	**Mark**
3 (c)	**A02 - 2 marks** **18000 (2)** If correct answer not given award marks for workings: 24 000 + 5 000 = 29 000 **(1)** **Or** 29 000 – 11 000 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Pricing strategies and when to use them

Answer 16 of 17 · Question 3 part e · 9 marks

2024 NOV · Paper 01 · extract 2 of 6 · find part e in this mark scheme extract

Question Number	Analyse **two** possible reasons that may lead to business failure for *Saha.* **Indicative content**	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • There are many new competitors, such as *NIO,* entering the robot market who are challenging *Saha* for market share • As *Saha* has ambitious plans to expand to other continents it may encounter cash flow problems due to the increased amounts of outflows required to pay for advertising/materials **AO3** • This may lead to *Saha* losing customers because it is not being competitive if other businesses such as *NIO* or *Zoox* develop robots that are technologically superior or less expensive • This could lead to a shortage of cash/ liquidity problems for *Saha* leading to its insolvency	**(6)**

Type MS · Pricing strategies and when to use them

Answer 16 of 17 · Question 3 part e · 9 marks

2024 NOV · Paper 01 · extract 3 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Pricing strategies and when to use them

Answer 16 of 17 · Question 3 part e · 9 marks

2024 NOV · Paper 01 · extract 4 of 6 · find part e in this mark scheme extract

Question Number	*Saha* is planning to develop a new range of robots aimed at helping people in the home with cleaning, shopping, security and entertainment. It is considering two pricing methods for these robots: **Option 1:** price skimming **Option 2:** cost plus pricing. Justify which **one** of these two options *Saha* should choose. **Indicative content**	**Mark**
3 (e)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – Using a price skimming strategy enables *Saha* to charge a high price for its new robots designed for the home • **Option 2** – Cost plus pricing ensures all costs involved in the manufacture of robots such as metal and assembly costs are considered when setting a price **AO3** • **Option 1** – Charging a high price will allow *Saha* to recover its research and development costs which can be reinvested into its business for further expansion/new designs • **Option 2** – assuming the robots are sold, *Saha* will be guaranteed to make a profit due to the mark-up it adds to the cost of producing the robots **AO4** • **Option 1** – However, if the price is considered too high for its target audience it may lose sales to competitors such as *Zoox* or *Vention* • **Option 2** – However, the price charged does not take into consideration the price the customer is willing to pay, which may potentially limit revenue/profit	**(9)**

Type MS · Pricing strategies and when to use them

Answer 16 of 17 · Question 3 part e · 9 marks

2024 NOV · Paper 01 · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Pricing strategies and when to use them

Answer 16 of 17 · Question 3 part e · 9 marks

2024 NOV · Paper 01 · extract 6 of 6 · find part e in this mark scheme extract

Question Number	Calculate, to two decimal places, the acid test ratio for *Saha*. You are advised to show your working. **Answer**	Additional guidance	Mark

Type MS · Pricing strategies and when to use them

Answer 17 of 17 · Question 2 part f · 9 marks

2024 NOV · Paper 02 · extract 1 of 7 · find part f in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a valid activity carried by the marketing functional area at *Premier Inn* in the context of the business. • To decide the prices of the hotel rooms so that visitors would consider staying at the hotel **(1)** • To advertise the hotels to encourage visitors to book rooms at *Premier Inn* hotels **(1)** **NB** Do not accept an activity that is not in the context of *Premier Inn* **Accept any other appropriate response.**	**(1)**

Question Number	State **one** reason why *Premier Inn* uses seasonal employees. **Answer**	**Mark**
2 (b)	**A02 - 1 mark** Award 1 mark for a valid reason why *Premier Inn* uses seasonal employees in the context of the business. • Enables the hotel to continue working when there is an increase in demand for rooms during the summer holidays **(1)** • Students with their long holidays can be employed as full-time employees, such as waiters and housemaids **(1)** **NB** Do not accept a reason that is not in the context of *Premier Inn* **Accept any other appropriate response.**	**(1)**

Type MS · Pricing strategies and when to use them

Answer 17 of 17 · Question 2 part f · 9 marks

2024 NOV · Paper 02 · extract 2 of 7 · find part f in this mark scheme extract

Question Number	Explain **one** reason why a business would use robotics in its production. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for a reason why a business would use robotics in its production, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Using robots in the production process reduces production errors **(1)** as robots can be programmed to do the same thing time after time **(1)** products can be made with greater consistency/higher quality **(1)** • Using robotics in the production process increases the number of goods produced **(1)** reducing the cost of production **(1)** leading to the possibility of greater profits **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons why a business would use robotics in its production, with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Pricing strategies and when to use them

Answer 17 of 17 · Question 2 part f · 9 marks

2024 NOV · Paper 02 · extract 3 of 7 · find part f in this mark scheme extract

Question Number	Explain **one** reason why a business might use sponsorship. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for a reason why business might use sponsorship, plus 2 further marks for explaining this reason, for a maximum of 3 marks. • If a business sponsored an event the business would gain publicity **(1)** this would mean the business would raise awareness in a wide range of people **(1)** which may attract new customers **(1)** • The business would gain brand awareness from any sponsorship **(1)** this could encourage followers of the event to consider purchasing from the business **(1)** leading to increased revenue/profits **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons why a business might use sponsorship to promote itself, with no explanation will get 1 mark only. **Accept any other appropriate response**.	**(3)**

Type MS · Pricing strategies and when to use them

Answer 17 of 17 · Question 2 part f · 9 marks

2024 NOV · Paper 02 · extract 4 of 7 · find part f in this mark scheme extract

Question Number	Explain **one** advantage for a country of being in a trading bloc. **Answer**	**Mark**
2 (e)	**A01 - 3 marks** Award 1 mark for an advantage for a country being in a trading bloc, plus 2 further marks for explaining the advantage, for a maximum of 3 marks. • Businesses within a country can trade with no tariff barriers **(1)** This means that there will be no additional costs involved **(1)** therefore prices could be lower **(1)** • It gives a wider choice of goods for consumers **(1)** as the goods move freely with no trade restrictions **(1)** from one country to another country **(1)** **NB** No marks are awarded for a definition. Answers that list three advantages why a business is in a trading bloc, with no explanation will get a maximum of 1 mark **Accept any other appropriate response.**	**(3)**

Type MS · Pricing strategies and when to use them

Answer 17 of 17 · Question 2 part f · 9 marks

2024 NOV · Paper 02 · extract 5 of 7 · find part f in this mark scheme extract

Question Number	**Option 1:** competition pricing **Option 2:** promotional pricing. Justify which **one** of these two options *Premier Inn* should choose. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – *Premier Inn* will match the price of competitors for its rooms • **Option 2** – *Premier Inn* could offer a discount on the price of a 3-night stay at the hotel **AO3** • **Option 1** – Customers could be tempted to book with *Premier Inn* because the price is similar or slightly lower than its competitors • **Option 2** – The lower price could mean that they get more bookings which means revenue for the business **AO4** • **Option 1** – However, there is no guarantee that customers will book with *Premier Inn* as they may prefer the facilities at another hotel • **Option 2** – However, even though the bookings may be higher there is no guarantee that the profit will be same or higher	**(9)**

Type MS · Pricing strategies and when to use them

Answer 17 of 17 · Question 2 part f · 9 marks

2024 NOV · Paper 02 · extract 6 of 7 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Pricing strategies and when to use them

Answer 17 of 17 · Question 2 part f · 9 marks

2024 NOV · Paper 02 · extract 7 of 7 · find part f in this mark scheme extract

Question Number	Define the term **net cash flow.** **Answer**	Mark